

take many of these discussions forward in the coming months.

Anil Bhardwaj, Secretary General of the Federation of Indian Micro and Small & Medium Enterprises (FISME), notes that there are several challenges related to banking and finance, as well as boosting productivity and competitiveness. “There needs to be an MSME-focussed bank with branches in every district of the country,” he underlines, noting that the Small Industries Development Bank of India (SIDBI) is not a consumer-facing bank. He also adds that measures must also be taken to work on the sustainability initiatives in the sector, given that India wants to be a net-zero economy by 2070.

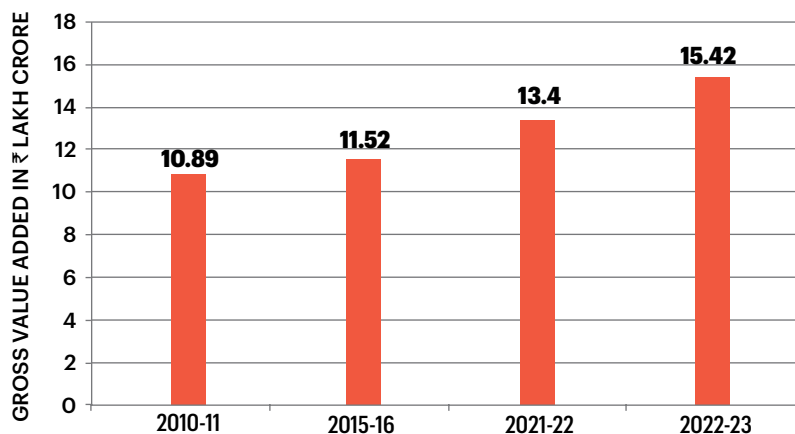
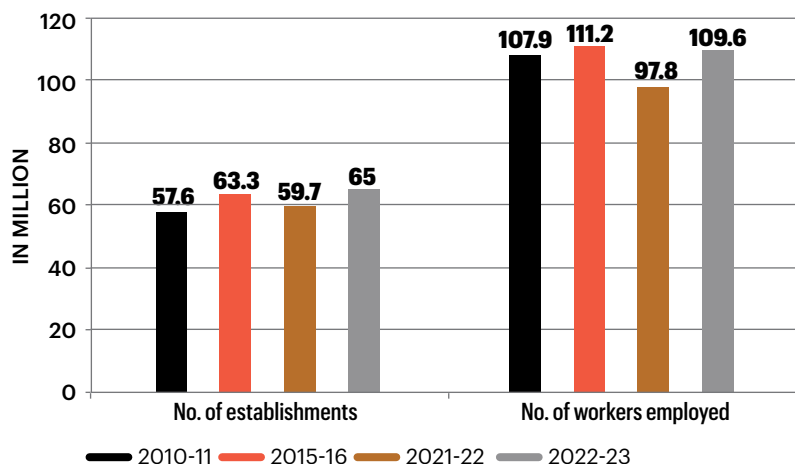
In its petitions to the government, FISME has also called for a review of the non-performing assets norms for MSMEs as well as the bank rating required for loans beyond a certain threshold. These would have to be tweaked for MSMEs, and they cannot be treated on par with large companies.

Ketul Acharya, President of the Global Alliance for Mass Entrepreneurship (GAME), says MSMEs can be large-scale employment generators, especially for women. But there are several challenges these businesses face, including access to formal credit, a high bureaucratic compliance burden, access to markets, challenges in getting skilled manpower and providing adequate remuneration, as well as the use of digital infrastructure and payments. He suggests three broad policy focus areas. “There has to be a shift in the mindset of the youth from being job seekers to job generators and to one of entrepreneurship. Can something more be done on this on the policy front, along with the Atal Incubation Centre?”

Acharya also calls for enabling easier access to credit in terms of getting working capital and loans and more efforts from both the Centre and the

A SLOW REVIVAL

- Informal enterprises have recovered from the shock of the pandemic
- But the number of workers employed by them in 2022-23 was still below pre-pandemic levels



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states to improve ease of doing business. “The government can highlight role models and reward them on the lines of a one district, one-entrepreneurship award,” he says, adding that this can be done especially for women entrepreneurs.

In the following pages, we delve into these issues and look for possible solutions. For India to build on its growth momentum, it is vital to take care of MSMEs and provide them with institutional support to ensure that they don’t have to rely on *jugaad*. **BT**

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